Wiwynn Corp (6669 TT)

Target price: **TWD2,500.00** (from TWD2,715.00)

Share price (11 Nov): **TWD1,680.00** | Up/downside: **+48.8%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 review: fundamentals largely on track

- Regular server strength sustaining into 2H26, thanks to agentic AI
- Increasing AI server projects from 4Q26 to boost revenue momentum
- Reaffirming our Buy (1) rating; trimming 12-month TP to TWD2,500

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What's new: We update our view after 3Q26 results (issued 6 November).

What's the impact: **Fundamentals largely on track.** Rising CPU demand from agentic AI has lifted our 2026 regular server growth target to >50% YoY (vs. 20-30% YoY), making regular servers the key growth driver for Wiwynn and helping it offset the slower-than-expected AMZN ASIC AI server ramp in 3Q26 (ramping from September vs. original July estimate). Looking ahead, we expect the T3 lifecycle to likely peak in 2Q/3Q27, but the rising contribution from both Nvidia and AMD GPU AI servers should offset the slowdown in 2H27. As for the margin trend, we expect regular servers to be at 10% and ASIC AI servers to be at 8%. However, we expect the rising GPU AI server to gradually dilute the blended gross margin as Wiwynn focuses only on L11, while GPU motherboard (L6) and tray level (L10) will be handled by its parent company Wistron (3231 TT, TWD171, Buy [1]). As such, we expect the gross margin for Wiwynn's GPU AI servers to be 2-3%, lower than the 4-5% AI of other ODM peers.

3Q26 results beat expectations. Wiwynn reported 3Q26 net income of TWD23.36bn (EPS: TWD41.46), beating our expectation by 8%. 3Q26 sales (TWD434.62bn; up 56% QoQ and 63% YoY) beat our estimate by 6% and the Bloomberg consensus estimate by 7% on stronger-than-expected regular server shipments. Regular servers accounted for 50-55% of its revenue, down from 60-70% in 2Q26, while AI servers contributed 45-50%. Gross margin declined by 0.4pp QoQ to 8.9%, but still exceeded our 8.2% estimate. Management attributed the sequential margin contraction mainly to lower NRE recognition and rising material costs, as not all memory components used in regular servers are procured under consignment arrangements. However, we believe lower regular server contribution to the product mix was key reason. With better operating leverage, operating margin improved by 0.2pp QoQ to 7.5%. That said, net profit was dragged down by higher interest expense (reaching TWD3bn in 3Q26 vs. TWD2bn in 2Q26) and a higher tax rate of 23.2% (vs. 21.1% in 2Q26).

What we recommend: We lift our 2026-27E EPS by 1-5% to reflect stronger regular server demand but cut 2028E EPS by 3% to reflect higher interest expense assumption. We reaffirm our Buy (1) rating but trim our 12M TP to TWD2,500 (from TWD2,715), based on a target PER of 13x (prior: 18x; within its past-2-year trading range of 9-21x) applied to our 1-year forward diluted EPS, given weaker market sentiment. Key downside risks: weaker-than-expected server demand and CSP capex.

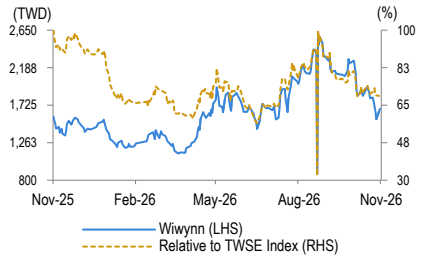
How we differ: Our 2028E EPS is 3% above street estimates due to our higher regular and AI server shipment assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	6.6	2.6	2.2
Net profit change	5.1	1.5	(1.9)
Core EPS (FD) change	4.5	0.9	(2.5)

Source: Daiwa forecasts

Share price performance



12-month range	876.69-2,610.00
Market cap (USDbn)	28.41
3m avg daily turnover (USDm)	242.22
Shares outstanding (m)	557
Major shareholder	Wistron Corp (44.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	1,487,432	2,828,253	4,157,285
Operating profit (m)	104,476	153,723	203,082
Net profit (m)	77,367	112,061	150,089
Core EPS (fully-diluted)	138.811	201.058	269.288
EPS change (%)	51.1	44.8	33.9
Daiwa vs Cons. EPS (%)	1.0	(4.2)	3.4
PER (x)	12.1	8.4	6.2
Dividend yield (%)	3.3	4.2	6.4
DPS	55.0	70.0	108.0
PBR (x)	5.5	3.8	2.8
EV/EBITDA (x)	8.1	6.1	4.7
ROE (%)	52.3	53.9	51.9

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

Wiwynn: Daiwa's revenue and earnings forecasts vs. consensus

	2026E			2027E			2028E		
(TWDm)	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	1,395,778	1,487,432	1,440,756	2,757,727	2,828,253	2,667,265	4,069,572	4,157,285	3,688,810
Diff (%)		**6.6%**	**3.2%**		**2.6%**	**6.0%**		**2.2%**	**12.7%**
Gross Margin (%)	8.2%	8.5%	8.4%	6.4%	6.6%	6.9%	6.0%	5.8%	6.5%
Operating profit	95,341	104,476	98,851	145,200	153,723	149,351	199,846	203,082	188,961
Op Margin (%)	6.8%	7.0%	6.9%	5.3%	5.4%	5.6%	4.9%	4.9%	5.1%
Net profit	73,599	77,367	76,613	110,423	112,061	116,946	153,046	150,089	145,159
EPS (TWD)	132.77	138.81	137.46	199.20	201.06	209.82	276.09	269.29	260.44
Diff (%)		**4.5%**	**1.0%**		**0.9%**	**-4.2%**		**-2.5%**	**3.4%**

Source: Bloomberg, Daiwa forecasts

Wiwynn: quarterly and annual P&L statement

	2026				2027E							
(TWDm)	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Net revenue	**276,508**	**278,153**	**434,618**	**498,154**	**589,375**	**649,316**	**715,430**	**874,132**	**950,663**	**1,487,432**	**2,828,253**	**4,157,285**
COGS	-255,627	-252,390	-396,064	-457,179	-547,296	-606,068	-669,929	-819,473	-872,209	-1,361,260	-2,642,766	-3,914,266
Gross profit	**20,881**	**25,763**	**38,553**	**40,975**	**42,079**	**43,248**	**45,501**	**54,659**	**78,454**	**126,172**	**185,487**	**243,019**
Operating expenses	-3,423	-5,545	-6,103	-6,625	-7,249	-7,467	-7,870	-9,178	-14,537	-21,696	-31,765	-39,937
Operating profit	**17,458**	**20,218**	**32,450**	**34,350**	**34,830**	**35,781**	**37,631**	**45,481**	**63,918**	**104,476**	**153,723**	**203,082**
Non-operating profit	476	-1,244	-2,034	-2,686	-2,667	-2,445	-2,475	-2,468	2,135	-5,488	-10,055	-10,660
Pre-tax profit	**17,934**	**18,974**	**30,417**	**31,664**	**32,163**	**33,336**	**35,156**	**43,013**	**66,052**	**98,988**	**143,668**	**192,422**
Income taxes	-3,820	-4,005	-7,052	-6,744	-7,076	-7,334	-7,734	-9,463	-14,934	-21,621	-31,607	-42,333
Net profit	**14,114**	**14,969**	**23,364**	**24,919**	**25,087**	**26,002**	**27,422**	**33,550**	**51,118**	**77,367**	**112,061**	**150,089**
Net EPS (TWD)	**75.95**	**80.11**	**41.46**	**44.22**	**44.52**	**46.14**	**48.66**	**59.53**	**275.06**	**138.81**	**201.06**	**269.29**
Diluted EPS (TWD)	**73.55**	**77.59**	**40.06**	**41.45**	**41.73**	**43.25**	**45.61**	**55.81**	**266.37**	**130.03**	**188.34**	**252.26**
Operating Ratios												
Gross margin	7.6%	9.3%	8.9%	8.2%	7.1%	6.7%	6.4%	6.3%	8.3%	8.5%	6.6%	5.8%
Operating margin	6.3%	7.3%	7.5%	6.9%	5.9%	5.5%	5.3%	5.2%	6.7%	7.0%	5.4%	4.9%
Pre-tax margin	6.5%	6.8%	7.0%	6.4%	5.5%	5.1%	4.9%	4.9%	6.9%	6.7%	5.1%	4.6%
Net margin	5.1%	5.4%	5.4%	5.0%	4.3%	4.0%	3.8%	3.8%	5.4%	5.2%	4.0%	3.6%
YoY (%)												
Net revenue	62%	26%	63%	70%	113%	133%	65%	75%	164%	56%	90%	47%
Gross profit	41%	36%	64%	94%	102%	68%	18%	33%	110%	61%	47%	31%
Operating profit	46%	27%	66%	109%	100%	77%	16%	32%	127%	63%	47%	32%
Pre-tax profit	43%	21%	49%	81%	79%	76%	16%	36%	129%	50%	45%	34%
Net profit	44%	23%	52%	81%	78%	74%	17%	35%	124%	51%	45%	34%
QoQ (%)												
Net revenue	-5%	1%	56%	15%	18%	10%	10%	22%				
Gross profit	-1%	23%	50%	6%	3%	3%	5%	20%				
Operating profit	6%	16%	61%	6%	1%	3%	5%	21%				
Pre-tax profit	3%	6%	60%	4%	2%	4%	5%	22%				
Net profit	2%	6%	56%	7%	1%	4%	5%	22%				

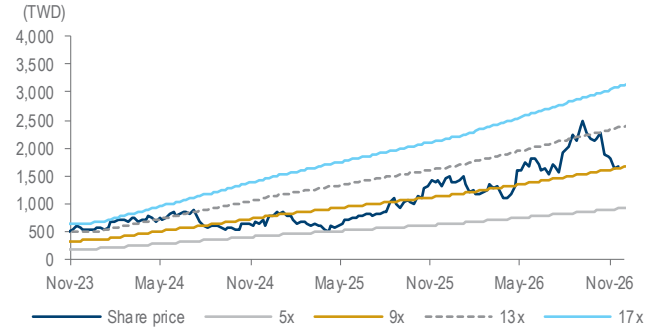
Source: Company, Daiwa forecasts

Wiwynn: 3Q26 comparison table

(TWDm)	Actual	QoQ%	YoY%	Daiwa	Diff %	Consensus	Diff %
Revenue	434,618	56%	63%	408,521	6%	406,893	7%
Gross profit	38,553	50%	64%	33,448	15%	34,245	13%
Gross margin (%)	8.9%			8.2%		8.4%	
Operating profit	32,450	61%	66%	27,974	16%	27,885	16%
Operating margin (%)	7.5%			6.8%		6.9%	
Pre-tax profit	30,417	60%	49%	27,370	11%	27,393	11%
Net profit	23,364	56%	52%	21,540	8%	21,176	10%
EPS (TWD)	41.46	56%	52%	38.86	7%	38.20	9%

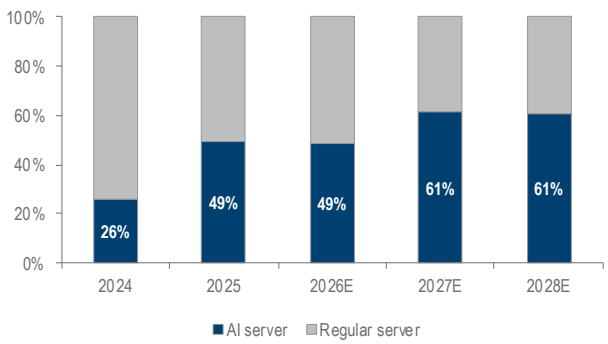
Source: Company data, Daiwa forecasts, Bloomberg

Wiwynn: 1-year forward PER bands



Source: TEJ, Daiwa forecasts

Wiwynn: AI vs. non-AI server revenue breakdown



Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Facebook revenue YoY growth (%)	(8)	60	(27)	44	78	65	33	19
Microsoft revenue YoY growth (%)	13	32	(33)	42	85	53	32	8
Other revenue YoY growth (%)	30	90	59	66	366	52	148	64

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Facebook	96,202	153,625	111,546	160,225	285,308	471,984	627,273	745,016
Microsoft	75,390	99,362	67,067	95,404	176,842	271,173	357,354	387,311
Other Revenue	21,034	39,889	63,288	104,912	488,513	744,275	1,843,626	3,024,958
Total Revenue	**192,626**	**292,876**	**241,901**	**360,541**	**950,663**	**1,487,432**	**2,828,253**	**4,157,285**
Other income	0	0	0	0	0	0	0	0
COGS	(177,005)	(268,897)	(219,244)	(323,141)	(872,209)	(1,361,260)	(2,642,766)	(3,914,266)
SG&A	(1,775)	(2,616)	(2,768)	(3,258)	(5,119)	(6,962)	(9,817)	(11,836)
Other op.expenses	(2,459)	(3,529)	(4,019)	(6,044)	(9,418)	(14,734)	(21,948)	(28,101)
Operating profit	**11,387**	**17,834**	**15,871**	**28,099**	**63,918**	**104,476**	**153,723**	**203,082**
Net-interest inc./(exp.)	(295)	(726)	(498)	(23)	(2,113)	(7,982)	(10,655)	(10,660)
Assoc/forex/extraord./others	(96)	789	71	755	4,248	2,494	600	0
Pre-tax profit	**10,996**	**17,897**	**15,444**	**28,830**	**66,052**	**98,988**	**143,668**	**192,422**
Tax	(2,348)	(3,723)	(3,400)	(6,054)	(14,934)	(21,621)	(31,607)	(42,333)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**8,648**	**14,175**	**12,044**	**22,776**	**51,118**	**77,367**	**112,061**	**150,089**
Net profit (adjusted)	**8,648**	**14,175**	**12,044**	**22,776**	**51,118**	**77,367**	**112,061**	**150,089**
EPS (reported)(TWD)	**16.522**	**27.081**	**23.010**	**40.939**	**91.883**	**138.811**	**201.058**	**269.288**
EPS (adjusted)(TWD)	**16.522**	**27.081**	**23.010**	**39.645**	**88.977**	**130.033**	**188.344**	**252.259**
EPS (adjusted fully-diluted)(TWD)	**16.522**	**27.081**	**23.010**	**40.939**	**91.883**	**138.811**	**201.058**	**269.288**
DPS (TWD)	**32.000**	**25.000**	**50.000**	**42.000**	**74.000**	**55.000**	**70.000**	**108.000**
EBIT	**11,387**	**17,834**	**15,871**	**28,099**	**63,918**	**104,476**	**153,723**	**203,082**
EBITDA	**11,935**	**18,596**	**16,873**	**30,103**	**66,608**	**113,149**	**164,135**	**216,252**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	10,996	17,897	15,444	28,830	66,052	98,988	143,668	192,422
Depreciation and amortisation	548	762	1,002	2,005	2,690	8,672	10,412	13,170
Tax paid	(2,348)	(3,723)	(3,400)	(6,054)	(14,934)	(21,621)	(31,607)	(42,333)
Change in working capital	(25,547)	12,998	8,928	(47,806)	(64,430)	(25,862)	(148,550)	(118,417)
Other operational CF items	2,139	2,743	1,087	3,032	9,997	0	(0)	0
Cash flow from operations	**(14,212)**	**30,678**	**23,060**	**(19,993)**	**(624)**	**60,177**	**(26,077)**	**44,843**
Capex	(511)	(1,466)	(4,886)	(4,891)	(13,674)	(4,462)	(7,071)	(10,393)
Net (acquisitions)/disposals	(277)	0	0	0	0	0	0	0
Other investing CF items	(252)	(464)	190	(764)	(92)	0	0	0
Cash flow from investing	**(1,039)**	**(1,930)**	**(4,696)**	**(5,655)**	**(13,766)**	**(4,462)**	**(7,071)**	**(10,393)**
Change in debt	20,574	(22,561)	1,893	17,885	71,180	(3,724)	0	0
Net share issues/(repurchases)	0	0	0	27,068	0	0	0	0
Dividends paid	(5,595)	(4,371)	(8,742)	(7,343)	(13,752)	(30,655)	(39,015)	(60,194)
Other financing CF items	(124)	751	(265)	(1,294)	(1,240)	0	0	0
Cash flow from financing	**14,855**	**(26,181)**	**(7,115)**	**36,316**	**56,188**	**(34,379)**	**(39,015)**	**(60,194)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**(397)**	**2,567**	**11,250**	**10,668**	**41,797**	**21,336**	**(72,163)**	**(25,745)**
Free cash flow	(14,723)	29,212	18,175	(24,884)	(14,299)	55,715	(33,148)	34,449

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	22,673	26,232	37,495	48,329	89,934	111,270	39,107	13,362
Inventory	45,383	36,012	30,179	86,211	136,257	173,604	337,036	499,192
Accounts receivable	13,786	21,327	11,055	38,454	78,942	91,840	174,628	227,796
Other current assets	183	481	467	689	1,844	1,844	1,844	1,844
Total current assets	**82,025**	**84,051**	**79,195**	**173,683**	**306,977**	**378,558**	**552,616**	**742,195**
Fixed assets	1,038	2,157	5,626	9,163	20,848	16,639	13,297	10,520
Goodwill & intangibles	99	138	132	174	229	229	229	229
Other non-current assets	1,575	2,493	3,892	7,658	10,135	10,000	10,000	10,000
Total assets	**84,737**	**88,838**	**88,845**	**190,679**	**338,189**	**405,426**	**576,142**	**762,944**
Short-term debt	21,266	0	384	1,400	68,473	68,473	68,473	68,473
Accounts payable	18,279	26,465	20,169	53,585	79,366	103,749	201,419	298,326
Other current liabilities	7,621	12,098	15,941	21,379	31,815	28,091	28,091	28,091
Total current liabilities	**47,166**	**38,562**	**36,494**	**76,364**	**179,654**	**200,312**	**297,983**	**394,890**
Long-term debt	9,436	9,440	8,443	22,004	27,985	27,985	27,985	27,985
Other non-current liabilities	765	2,049	1,674	4,108	5,898	5,898	5,898	5,898
Total liabilities	**57,367**	**50,051**	**46,611**	**102,476**	**213,537**	**234,195**	**331,866**	**428,773**
Share capital	1,748	1,748	1,748	1,858	1,858	5,574	5,574	5,574
Reserves/R.E./others	25,622	37,039	40,486	86,344	122,794	165,657	238,703	328,598
Shareholders' equity	**27,370**	**38,787**	**42,234**	**88,203**	**124,653**	**171,231**	**244,276**	**334,171**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**84,737**	**88,838**	**88,845**	**190,679**	**338,189**	**405,426**	**576,142**	**762,944**
EV	944,387	919,565	907,689	911,432	942,881	921,545	993,708	1,019,453
Net debt/(cash)	**8,029**	**(16,792)**	**(28,668)**	**(24,925)**	**6,524**	**(14,812)**	**57,350**	**83,095**
BVPS (TWD)	**52.292**	**74.105**	**80.690**	**158.541**	**224.059**	**307.220**	**438.278**	**599.566**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	3.0	52.0	(17.4)	49.0	163.7	56.5	90.1	47.0
EBITDA (YoY)	2.6	55.8	(9.3)	78.4	121.3	69.9	45.1	31.8
Operating profit (YoY)	1.3	56.6	(11.0)	77.1	127.5	63.5	47.1	32.1
Net profit (YoY)	0.4	63.9	(15.0)	89.1	124.4	51.3	44.8	33.9
Core EPS (fully-diluted) (YoY)	0.4	63.9	(15.0)	77.9	124.4	51.1	44.8	33.9
Gross-profit margin	8.1	8.2	9.4	10.4	8.3	8.5	6.6	5.8
EBITDA margin	6.2	6.3	7.0	8.3	7.0	7.6	5.8	5.2
Operating-profit margin	5.9	6.1	6.6	7.8	6.7	7.0	5.4	4.9
Net profit margin	4.5	4.8	5.0	6.3	5.4	5.2	4.0	3.6
ROAE	33.3	42.9	29.7	34.9	48.0	52.3	53.9	51.9
ROAA	12.4	16.3	13.6	16.3	19.3	20.8	22.8	22.4
ROCE	24.5	33.6	32.0	34.5	38.4	42.7	50.5	52.7
ROIC	38.0	49.2	69.6	57.8	50.9	56.8	52.4	44.1
Net debt to equity	29.3	n.a.	n.a.	n.a.	5.2	n.a.	23.5	24.9
Effective tax rate	21.4	20.8	22.0	21.0	22.6	21.8	22.0	22.0
Accounts receivable (days)	22.2	21.9	24.4	25.1	22.5	21.0	17.2	17.7
Current ratio (x)	1.7	2.2	2.2	2.3	1.7	1.9	1.9	1.9
Net interest cover (x)	38.7	24.6	31.9	1,215.1	30.3	13.1	14.4	19.1
Net dividend payout	194.5	151.3	184.6	182.5	180.8	59.9	50.4	53.7
Free cash flow yield	n.a.	3.1	1.9	n.a.	n.a.	6.0	n.a.	3.7

Source: FactSet, Daiwa forecasts

Company profile

Established in 2012 and listed in 2019, Wiwynn (a subsidiary of Wistron Corp) is a dedicated ODM-direct supplier of servers for hyperscale datacentres, with major customers including Facebook, Microsoft, and Amazon. Aside from hyperscaler customers, the company is expanding its target markets to what it terms "Next Wave" customers, including tier-2 cloud service providers and telecom operators, which could bring growth opportunities related to edge computing and open RAN.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	Wiwynn plans to have seven to nine directors on its board who will serve three-year terms in accordance with the Articles of Incorporation in Taiwan. Currently, Wiwynn has 9 board members with five independent directors. The background of independent directors is diversified and their competence includes technology, business management, and law. We deem the diversified background as a positive factor for the company's board quality. Wiwynn held 9 board meetings in 2025 and the average attendance rate was around 99%. The Chairman does not serve concurrently as the President or CEO, which we think is a positive for board and executive management as well as external shareholder interest.
	Capital management	2	Wiwynn declared cash DPS of TWD145 and a stock dividend of TWD20 per share for 2025, representing a total payout ratio of 60.0%. We note that investors favour its high dividend payout ratio policy. However, Wiwynn has been expanding its own manufacturing capacity in Malaysia, Tainan, Mexico and the US, making its business model less asset-light than before. With the server market still in the high growth period and the payout ratio remaining at around 60%, we expect the favourable dividend policy to be sustained going forward.
	Related party & transaction	3	In 2025, revenue from related parties accounted for 0.2% of total revenue, while purchases from related parties were 9.2% of cost of sales. The main purchase counterparty is Wistron (3231 TT; Wiwynn's parent company), with purchases from Wistron accounting for 8.09% of total procurement. While Wiwynn is a professional assembly vendor for data center servers, it still outsources a portion of its production capacity to its parent company, Wistron. At the same time, Wiwynn has expanded its own production bases in Malaysia, Tainan, Mexico and the US, reducing its reliance on Wistron. This business model still causes meaningful transactions with related parties, although the exposure has declined materially. Indeed, we are concerned whether Wistron collects fair manufacturing fees from Wiwynn. As the company states that trading terms of purchase transactions with related parties cannot be compared with third-party vendors due to product specifications, we are not able to assess this concern.
S	Supply chain management	1	Wiwynn focuses on providing various products and system solutions for hyperscale datacentres and cloud infrastructures. There are over 100 suppliers providing key components, electronic materials, and mechanical materials in Wiwynn's supply chain. For the new joiners that target to penetrate into Wiwynn's supply chain, Wiwynn has formed the "Supplier Evaluation Group" to conduct: 1) supplier management and supply capabilities evaluation, 2) technical capability development assessment, and 3) partner quality assurance (these include mainly topics undertaken by RBA, such as no child labour, no conflict minerals, no use of environmentally hazardous substances, etc.). New suppliers are also required to be ISO9001, ISO14001, IECQ QC 080000, and OHSAS 18001 (ISO 45001) qualified. Wiwynn has strong supply chain risk management by conducting audits regularly. Apart from considering the technical skills, quality date, delivery dates and price completeness of suppliers, Wiwynn audits its suppliers to endeavour to protect the environment, ensure safety and health of the environment, and emphasise the importance of human rights, based on Wiwynn's CSR Management System.
S	Data security	2	To serve world-class cloud service providers, Wiwynn has been constantly improving its information security management. Employees are educated on the protection of the product, technology, and information privacy of customers. In response to the global trends in data protection laws that tend to strengthen the security of classified information, Wiwynn has mandated that all assigned PCs have the Windows Bitlocker HDD encryption activated to avoid classified data being accessed without permission. In 2020, it also introduced Multi-Factor Authentication (MFA). Beyond the security measures for hardware, the company controls access to office, labs, and conference room in a robust manner to prevent theft of the hardware.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 11 Nov 2026
Source: Daiwa, Company

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